

## TAXABLE BENEFITS IN KIND AND EXPENSES PAYMENTS

Company Car Tax rules 2005-06 to 2016-17

Ready reckoner of appropriate percentage for calculating car benefit charge

| Appropriate percentage | Diesel supplements <sup>2</sup>                                                                                                  | CO <sub>2</sub> emissions in grams per kilometre                            |             |             |             |             |             |             |           |                                      |             |        |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-----------|--------------------------------------|-------------|--------|
|                        |                                                                                                                                  | 2005-06 to 2007-08                                                          | 2008-09     | 2009-10     | 2010-11     | 2011-12     | 2012-13     | 2013-14     | 2014-15   | 2015-16                              | 2016-17     |        |
| 0                      |                                                                                                                                  | Zero rate for Zero CO2 emission vehicles introduced in 2010-11 <sup>2</sup> |             |             |             | 0           | 0           | 0           | 0         | Zero rate comes to an end April 2015 |             |        |
| 5                      |                                                                                                                                  | Ultra Low Carbon Cars band introduced in 2010-11 <sup>3</sup>               |             |             |             | 1 - 75      | 1 - 75      | 1 - 75      | 1 - 75    | 1 - 75                               | 0 - 50      | -      |
| 7                      | For years up to and including 2015-16, add 3% if car runs solely on diesel up to a maximum of 35% to 2014-15 and 37% in 2015-16. | -                                                                           | -           | -           | -           | -           | -           | -           | -         | -                                    | -           | 0 - 50 |
| 9                      |                                                                                                                                  | -                                                                           | -           | -           | -           | -           | -           | -           | -         | -                                    | 51 - 75     | -      |
| 10                     |                                                                                                                                  | -                                                                           | 0 - 120     | 0 - 120     | 76 - 120    | 76 - 120    | 76 - 99     | 76 - 94     | -         | -                                    | -           | -      |
| 11                     |                                                                                                                                  | -                                                                           | -           | -           | -           | -           | 100 - 104   | 95 - 99     | 76 - 94   | -                                    | 51 - 75     | -      |
| 12                     |                                                                                                                                  | -                                                                           | -           | -           | -           | -           | 105 - 109   | 100 - 104   | 95 - 99   | -                                    | -           | -      |
| 13                     |                                                                                                                                  | -                                                                           | -           | -           | -           | -           | 110 - 114   | 105 - 109   | 100 - 104 | 76 - 94                              | -           | -      |
| 14                     |                                                                                                                                  | -                                                                           | -           | -           | -           | -           | 115 - 119   | 110 - 114   | 105 - 109 | 95 - 99                              | -           | -      |
| 15                     |                                                                                                                                  | 0 - 144                                                                     | 121 - 139   | 121 - 139   | 121 - 134   | 121 - 129   | 120 - 124   | 115 - 119   | 110 - 114 | 100 - 104                            | 76 - 94     | -      |
| 16                     |                                                                                                                                  | 145 - 149                                                                   | 140 - 144   | 140 - 144   | 135 - 139   | 130 - 134   | 125 - 129   | 120 - 124   | 115 - 119 | 105 - 109                            | 95 - 99     | -      |
| 17                     |                                                                                                                                  | 150 - 154                                                                   | 145 - 149   | 145 - 149   | 140 - 144   | 135 - 139   | 130 - 134   | 125 - 129   | 120 - 124 | 110 - 114                            | 100 - 104   | -      |
| 18                     | 155 - 159                                                                                                                        | 150 - 154                                                                   | 150 - 154   | 145 - 149   | 140 - 144   | 135 - 139   | 130 - 134   | 125 - 129   | 115 - 119 | 105 - 109                            | -           |        |
| 19                     | 160 - 164                                                                                                                        | 155 - 159                                                                   | 155 - 159   | 150 - 154   | 145 - 149   | 140 - 144   | 135 - 139   | 130 - 134   | 120 - 124 | 110 - 114                            | -           |        |
| 20                     | 165 - 169                                                                                                                        | 160 - 164                                                                   | 160 - 164   | 155 - 159   | 150 - 154   | 145 - 149   | 140 - 144   | 135 - 139   | 125 - 129 | 115 - 119                            | -           |        |
| 21                     | 170 - 174                                                                                                                        | 165 - 169                                                                   | 165 - 169   | 160 - 164   | 155 - 159   | 150 - 154   | 145 - 149   | 140 - 144   | 130 - 134 | 120 - 124                            | -           |        |
| 22                     | 175 - 179                                                                                                                        | 170 - 174                                                                   | 170 - 174   | 165 - 169   | 160 - 164   | 155 - 159   | 150 - 154   | 145 - 149   | 135 - 139 | 125 - 129                            | -           |        |
| 23                     | 180 - 184                                                                                                                        | 175 - 179                                                                   | 175 - 179   | 170 - 174   | 165 - 169   | 160 - 164   | 155 - 159   | 150 - 154   | 140 - 144 | 130 - 134                            | -           |        |
| 24                     | 185 - 189                                                                                                                        | 180 - 184                                                                   | 180 - 184   | 175 - 179   | 170 - 174   | 165 - 169   | 160 - 164   | 155 - 159   | 145 - 149 | 135 - 139                            | -           |        |
| 25                     | 190 - 194                                                                                                                        | 185 - 189                                                                   | 185 - 189   | 180 - 184   | 175 - 179   | 170 - 174   | 165 - 169   | 160 - 164   | 150 - 154 | 140 - 144                            | -           |        |
| 26                     | 195 - 199                                                                                                                        | 190 - 194                                                                   | 190 - 194   | 185 - 189   | 180 - 184   | 175 - 179   | 170 - 174   | 165 - 169   | 155 - 159 | 145 - 149                            | -           |        |
| 27                     | 200 - 204                                                                                                                        | 195 - 199                                                                   | 195 - 199   | 190 - 194   | 185 - 189   | 180 - 184   | 175 - 179   | 170 - 174   | 160 - 164 | 150 - 154                            | -           |        |
| 28                     | 205 - 209                                                                                                                        | 200 - 204                                                                   | 200 - 204   | 195 - 199   | 190 - 194   | 185 - 189   | 180 - 184   | 175 - 179   | 165 - 169 | 155 - 159                            | -           |        |
| 29                     | 210 - 214                                                                                                                        | 205 - 209                                                                   | 205 - 209   | 200 - 204   | 195 - 199   | 190 - 194   | 185 - 189   | 180 - 184   | 170 - 174 | 160 - 164                            | -           |        |
| 30                     | 215 - 219                                                                                                                        | 210 - 214                                                                   | 210 - 214   | 205 - 209   | 200 - 204   | 195 - 199   | 190 - 194   | 185 - 189   | 175 - 179 | 165 - 169                            | -           |        |
| 31                     | 220 - 224                                                                                                                        | 215 - 219                                                                   | 215 - 219   | 210 - 214   | 205 - 209   | 200 - 204   | 195 - 199   | 190 - 194   | 180 - 184 | 170 - 174                            | -           |        |
| 32                     | 225 - 229                                                                                                                        | 220 - 224                                                                   | 220 - 224   | 215 - 219   | 210 - 214   | 205 - 209   | 200 - 204   | 195 - 199   | 185 - 189 | 175 - 179                            | -           |        |
| 33                     | 230 - 234                                                                                                                        | 225 - 229                                                                   | 225 - 229   | 220 - 224   | 215 - 219   | 210 - 214   | 205 - 209   | 200 - 204   | 190 - 194 | 180 - 184                            | -           |        |
| 34                     | 235 - 239                                                                                                                        | 230 - 234                                                                   | 230 - 234   | 225 - 229   | 220 - 224   | 215 - 219   | 210 - 214   | 205 - 209   | 195 - 199 | 185 - 189                            | -           |        |
| 35                     | 240 or more                                                                                                                      | 235 or more                                                                 | 235 or more | 230 or more | 225 or more | 220 or more | 215 or more | 210 or more | 200 - 204 | 190 - 194                            | -           |        |
| 36                     |                                                                                                                                  | -                                                                           | -           | -           | -           | -           | -           | -           | -         | 205 - 209                            | 195 - 199   |        |
| 37                     |                                                                                                                                  | -                                                                           | -           | -           | -           | -           | -           | -           | -         | 210 or more                          | 200 or more |        |

i) Until 5 April 2011, the diesel supplement did not apply to diesel cars that meet the Euro IV emissions standards and were first registered before 01/01/06.

ii) Cars and vans with zero CO<sub>2</sub> emissions will be exempt from company car tax for a 5 year period starting in 2010-11

iii) Ultra Low Carbon cars band was introduced for a 5 year period starting in 2010-11

iv) Company car tax rates for 2017-18 and 2018-19 have been announced but not legislated on. See [https://www.gov.uk/government/uploads/system/uploads/attachment\\_data/file/294190/OOTLAR\\_19\\_March\\_2014\\_\\_1\\_.pdf](https://www.gov.uk/government/uploads/system/uploads/attachment_data/file/294190/OOTLAR_19_March_2014__1_.pdf)

## Notes on company car tax rules

- Company car tax was reformed in April 2002 to an emissions-based system. The charge is calculated by applying a percentage figure (the appropriate percentage) to the list price of the car. The fuel type of the car and its CO<sub>2</sub> emissions determine the appropriate percentage.
- There is a 3% supplement for most diesel-powered cars up to 2016-17.
- There are discounts for more environmentally-friendly alternative fuels and different rules for older cars and cars with no approved CO<sub>2</sub> emissions figure or recognised cylinder capacity. For specific rules see HMRC's website at [www.hmrc.gov.uk/cars/](http://www.hmrc.gov.uk/cars/).

**Contact point for enquiries**

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For more general enquiries please refer to the HMRC website:

[www.hmrc.gov.uk](http://www.hmrc.gov.uk)